

A Classmate of Mine Says He Yearns for a Planned Economy, but When I Said I Would Be the One in Charge of the Planning, He Wasn't Happy — Why?

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The problem you raise actually points to the institutional defects of the traditional planned-economy practice. Marx himself did not describe in much detail how a planned economy would operate — this may be connected with his opposition to the romanticism of utopian socialism. But he did state very clearly the fundamental principles of a society that practises a planned economy.

First, on the question of ownership: the ownership of a planned economy is common possession built on the reconstruction of individual ownership — that is, public ownership:

The capitalist mode of appropriation, which results from the capitalist mode of production, and which therefore is private property in its capitalist form, is the first negation of individual private property, which is based on the labour of the proprietor. But capitalist production begets, with the inexorability of a law of nature, its own negation. It is the negation of the negation. This does not re-establish private property, but it does establish individual property on the basis of the achievements of the capitalist era, namely, cooperation and the common possession of the land and of the means of production produced by labour itself. — Capital

Second, in quantitative terms: the labour time each person contributes is equal to the labour time embodied in the consumer goods and services he receives back from society. Of course, Marx points out that there are necessary deductions here.

Each individual producer, after the deductions have been made, gets back from society exactly what he has given it. What he has given it is his individual quantum of labour. For example, the social working day consists of the sum of the individual hours of work; the individual labour time of the individual producer is the part of the social working day he contributes, his share in it. He receives a certificate from society that he has done such and such an amount of work (after deducting his labour for the common funds), and with this certificate he draws from the social stock of means of consumption as much as the same amount of labour costs. The same amount of labour which he has given to society in one form, he receives back in another. — Critique of the Gotha Programme

Finally, although Marx did not explicitly state who would draw up the plan, he made it clear that this is a common plan — not a plan drawn up by some individual or small clique:

If the co-operative societies are to regulate national production upon a common plan, thus taking it under their own control, and putting an end to the constant anarchy and periodical convulsions which are the fatality of capitalist production — what else, gentlemen, would that be but communism, "possible" communism? — The Civil War in France

Engels has a similar description:

This new social system must first deprive the mutually competing individuals of the direction of industry and of all branches of production, and replace it with the direction of all these branches of production by the whole of society — that is, for the common benefit, according to a common plan, and with the participation of all members of society. In this way, the new social system will abolish competition and replace it with association. — Principles of Communism

So in the planned economy envisioned by Marx and Engels, planning cannot take the form of "I'll do the planning for you." In terms of the relations of ownership, the reconstruction of individual ownership means that individuals have a corresponding say not only over their own labour power but over the means of production as well. As for who initiates the plan, it should be a common plan drawn up by all members according to the common interest. And in terms of distribution, at least in the initial stage, it is distribution according to labour.

Therefore, your classmate's displeasure is quite natural — the planned economy you described is not the model of planning championed at the origin of the Marxist tradition. Of course, the planned economy we experienced in the twentieth century was rather like what you describe: "I'll do the planning for you" — I decide what the accumulation rate should be, how many resources go to the military industry, how many to solving the people's livelihood problems, and you can only obey my arrangements. Such a planned economy is still a kind of planning, but it carries inherent defects. Once the person or organisation in charge of the plan itself goes wrong, it easily develops a tendency to ignore the masses' consumption demands — even to abuse power for personal gain and wallow in corruption.

Many people say that what Marx and Engels described is an ideal, while Stalin and those who followed built an ideal society in reality, so it is impossible to copy the books entirely. Copying books is of course wrong. But history has already proved that the basic principles laid down by the founders of Marxism hold firm. Violate these principles, and however fervent the enthusiasm, in the long run the project cannot be sustained.

Marx and the others did not describe how to plan in common and implement the plan in common, because they themselves could not imagine it. Although planning is theoretically feasible, under the technological conditions of the nineteenth century, it was hard to imagine millions of people drawing

up, implementing, and supervising a plan together. Even up to the collapse of the Soviet Union, the planning apparatus never succeeded in building a system that could accomplish:

- 1) Deciding the accumulation rate on the basis of the masses' collective decision-making — that is, the ratio between the part used to maintain the depreciation of the means of production and the production of consumer goods supporting the current scale, and the part for the production of the means of production for expanded reproduction.
- 2) Determining, on the basis of the masses' needs, the total demand for each category of consumer goods (down to the specific model — shoes of different sizes and styles).
- 3) On the basis of collected technical production data of enterprises nationwide, calculating by input-output methods the output of all products (including both final products and intermediate products).
- 4) Planning the working hours of the labourers and entering them into the system, while calculating the total labour time embodied in each commodity, so that after the necessary deductions, the labourer can exchange for products of equivalent value.

Of course, a real planned economy must do more than these items; but if even these most basic points cannot be achieved, it is very hard to make a planned economy work. First, individual ownership cannot be reconstructed; second, a reliable plan cannot be drawn up; third, distribution according to labour cannot be practised. In the end, all that remains is: I decide the accumulation rate on your behalf, I decide what you need on your behalf, and I directly set your wage rate.

The twentieth century is over. The practice of the planned economy, though it once achieved glorious accomplishments, failed in the end. We must return to the starting point, get the fundamental principles straight, and only then find the direction.

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